



CHAPTER FOUR

CORPORATE SOCIAL RESPONSIBILITY: IN PRACTICE

From Obligations to Responsiveness to Responsibility

- ❖ Managers regularly face decisions that have a dimension of social responsibility in areas such as employee relations, philanthropy, pricing, resource conservation, product quality and safety, and doing business in countries that devalue human rights. What does it mean to be socially responsible?
- The concept of *social responsibility* has been described in different ways. It has been called:
 - “Profit making only,”
 - “Going beyond profit making,”
 - “Any discretionary corporate activity intended to further social welfare,” and
 - “Improving social or environmental conditions.”

VIEWS OF CORPORATE SOCIAL RESPONSIBILITY

A. Classical view

- ❖ It states that the management's only social responsibility is to maximize profits.
- ❖ It argues that managers' primary responsibility is to operate the business in the best interests of the stockholders, whose primary concerns are financial.
- ❖ It also argued that when managers decide to spend the organization's resources for "social good," they add to the costs of doing business, which have to be passed on to consumers through higher prices or absorbed by stockholders through smaller dividends

Cont...

- Milton Friedman, in his interpretation of social responsibility argues that the primary responsibility of business is to maximize profits for stockholders.

B. Socioeconomic View

- This view of social responsibility which says that managers' social responsibilities go beyond making profits to include protecting and improving society's welfare.
- This view is based on the belief that corporations are *not* independent entities responsible only to stockholders, but have an obligation to the larger society.

Cont...

- ❑ **Social responsiveness** is when a company engages in social actions in response to some popular social need.
- Managers are guided by social norms and values and make practical, market-oriented decisions about their actions.

Example: When the disastrous earthquake hit Haiti in January 2010, many companies responded to the immense needs in that region.

- **Social responsibility** as a business's intention, beyond its legal and economic obligations, to do the right things and act in ways that are good for society

social obligation

When a firm engages in social actions because of its obligation to meet certain economic and legal responsibilities

classical view

The view that management's only social responsibility is to maximize profits

socioeconomic view

The view that management's social responsibility goes beyond making profits to include protecting and improving society's welfare

social responsiveness

When a firm engages in social actions in response to some popular social need

social responsibility

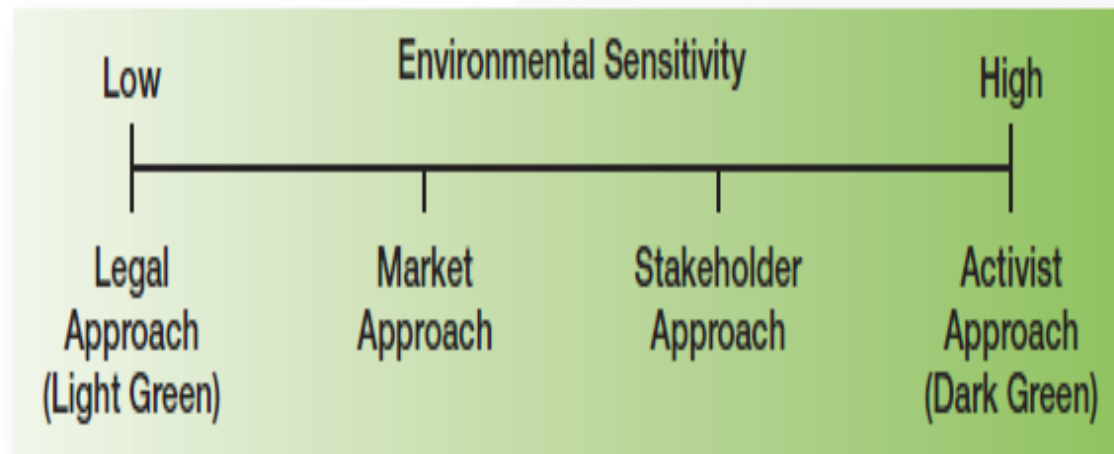
A business's intention, beyond its legal and economic obligations, to do the right things and act in ways that are good for society

EXHIBIT 5-1**Arguments For and Against Social Responsibility**

For	Against
Public expectations Public opinion now supports businesses pursuing economic and social goals.	Violation of profit maximization Business is being socially responsible only when it pursues its economic interests.
Long-run profits Socially responsible companies tend to have more secure long-run profits.	Dilution of purpose Pursuing social goals dilutes business's primary purpose—economic productivity.
Ethical obligation Businesses should be socially responsible because responsible actions are the right thing to do.	Costs Many socially responsible actions do not cover their costs and someone must pay those costs.
Public image Businesses can create a favorable public image by pursuing social goals.	Too much power Businesses have a lot of power already and if they pursue social goals they will have even more.
Better environment Business involvement can help solve difficult social problems.	Lack of skills Business leaders lack the necessary skills to address social issues.
Discouragement of further governmental regulation By becoming socially responsible, businesses can expect less government regulation.	Lack of accountability There are no direct lines of accountability for social actions.
Balance of responsibility and power Businesses have a lot of power and an equally large amount of responsibility is needed to balance against that power.	
Stockholder interests Social responsibility will improve a business's stock price in the long run.	
Possession of resources Businesses have the resources to support public and charitable projects that need assistance.	
Superiority of prevention over cures Businesses should address social problems before they become serious and costly to correct.	

Green Management and Sustainability

Approaches to go Green



Approaches to go Green

1. *The legal (or light green) approach*

- In this approach, which illustrates social obligation, organizations exhibit little environmental sensitivity.
- ✓ They obey laws, rules, and regulations without legal challenge and that's the extent of their being green.

2. *Market approach*

- As an organization becomes more sensitive to environmental issues,
- Whatever customers demand in terms of environmentally friendly products will be what the organization provides.

Approaches to go Green Cont...

3. Stakeholder approach

- Organizations may work to meet the environmental demands of multiple stakeholders such as employees, suppliers, or community.
- For instance, Hewlett- Packard has several corporate environmental programs in place for its supply chain (suppliers),
- Product design and product recycling (customers and society), and work operations (employees and community).

Approaches to go Green Cont...

4. An Activist (or dark green) approach

- If an organization pursues an *activist (or dark green) approach*, it looks for ways to protect the earth's natural resources.
- The activist approach reflects the highest degree of environmental sensitivity and illustrates social responsibility.
- For example, Belgian company Ecover produces ecological cleaning products in a near-zero-emissions factory.

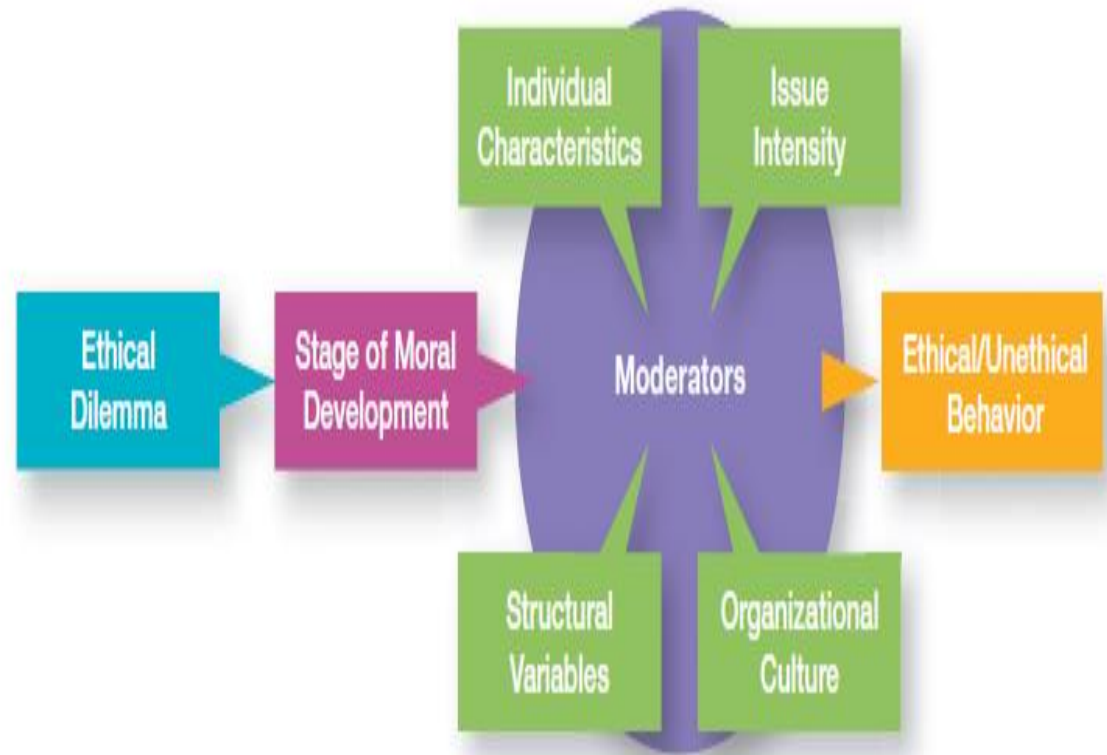
Managers and Ethical Behavior

- ❑ What do we mean by **ethics**?
- We're defining it as the principles, values, and beliefs that define right and wrong decisions and behavior.
- Many decisions that managers make require them to consider both the process and who's affected by the result.

Factors That Determine Ethical and Unethical Behavior

EXHIBIT 5-3

Factors that Determine Ethical and Unethical Behavior



STAGE OF MORAL DEVELOPMENT

- Research divides moral development into three levels, each having two stages.
- At each successive stage, an individual's moral judgment becomes less dependent on outside influences and more internalized.
- ❖ **First level (the *preconventional level*)** - a person's choice between **right or wrong** is based on personal consequences from outside sources, such as physical punishment, reward, or exchange of favors.
- ❖ **Second level (the *conventional level*)** - ethical decisions rely on maintaining expected standards and living up to the expectations of others.
- ❖ **The Third Level (*principled level*)** - individuals define moral values apart from the authority of the groups to which they belong or society in general.

Level	Description of Stage
Principled	6. Following self-chosen ethical principles even if they violate the law 5. Valuing rights of others and upholding absolute values and rights regardless of the majority's opinion
Conventional	4. Maintaining conventional order by fulfilling obligations to which you have agreed 3. Living up to what is expected by people close to you
Preconventional	2. Following rules only when doing so is in your immediate interest 1. Sticking to rules to avoid physical punishment

EXHIBIT 5-4

Stages of Moral Development

Source: Based on L. Kohlberg, "Moral Stages and Moralization: The Cognitive-Development Approach," in T. Lickona (ed.), *Moral Development and Behavior: Theory, Research, and Social Issues* (New York: Holt, Rinehart & Winston, 1976), pp. 34–35.

INDIVIDUAL CHARACTERISTICS

- ❖ Two individual characteristics—values and personality—play a role in determining whether a person behaves ethically.

Personal values

- Represents basic convictions about what is right and wrong.
- Our values develop from a young age based on what we see and hear from parents, teachers, friends, and others.
- ❖ **Two personality variables** have been found to influence an individual's actions according to his or her beliefs about what is right or wrong: **ego strength** and **locus of control**.

INDIVIDUAL CHARACTERISTICS Cont...

❖ **Ego strength**

- ✓ measures the strength of a person's convictions.
- ✓ People with high ego strength are likely to resist impulses to act unethically and instead follow their convictions.
- ✓ Individuals high in ego strength are more likely to do what they think is right and be more consistent in their moral judgments and actions than those with low ego strength.

INDIVIDUAL CHARACTERISTICS Cont...

❖ **Locus of control**

- ✓ is the degree to which people believe they control their own fate.
- People with an **internal locus of control** believe they control their own destinies.
- ✓ They're more likely to take responsibility for consequences and rely on their own internal standards of right and wrong to guide their behavior.
- ✓ They're also more likely to be consistent in their moral judgments and actions.
- People with an **external locus** believe what happens to them is due to luck or chance.
- ✓ They're less likely to take personal responsibility for the consequences of their behavior and more likely to rely on external forces

STRUCTURAL VARIABLES

- An organization's structural design can influence whether employees behave ethically.
- ✓ Those structures that minimize ambiguity and uncertainty with formal rules and regulations and those that continuously remind employees of what is ethical are more likely to encourage ethical behavior.
- ✓ Other structural variables that influence ethical choices include goals, performance appraisal systems, and reward allocation procedures.

Example:

- Closely related to the organization's appraisal system is how rewards are allocated.
- ✓ The more that rewards or punishment depend on specific goal outcomes, the more employees are pressured to do whatever they must to reach those goals, perhaps to the point of compromising their ethical standards.

ORGANIZATION'S CULTURE

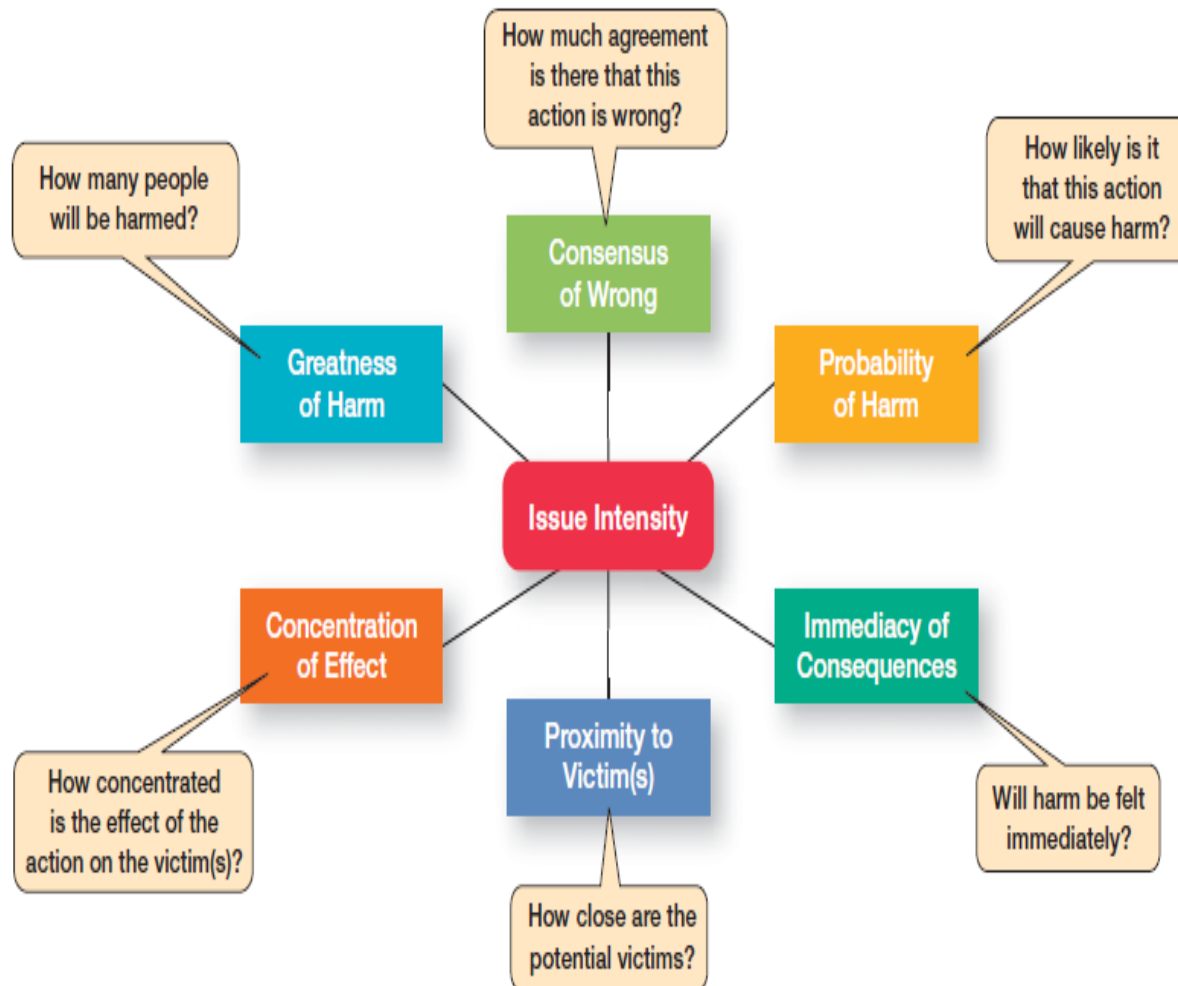
- ❖ The content and strength of an organization's culture also influence ethical behavior
- ❖ When it comes to ethical behavior, a culture most likely to encourage high ethical standards is one that's high in **risk tolerance, control, and conflict tolerance.**
- ✓ Employees in such a culture are encouraged to be aggressive and innovative, are aware that unethical practices will be discovered, and feel free to openly challenge expectations they consider to be unrealistic or personally undesirable.

ISSUE INTENSITY

- ❖ A student who would never consider breaking into an instructor's office to steal an accounting exam doesn't think twice about asking a friend who took the same course from the same instructor last semester what questions were on an exam.
- ❖ Similarly, a manager might think nothing about taking home a few office supplies yet be highly concerned about the possible embezzlement of company funds.
- ❖ These examples illustrate the final factor that influences ethical behavior: the intensity of the ethical issue itself

EXHIBIT 5-5

Issue Intensity



Ethics in an International Context

- ❖ Are ethical standards universal? Although some common moral beliefs exist, social and cultural differences between countries are important factors that determine ethical and unethical behavior.

For example, the manager of a Mexican firm bribes several high-ranking government officials in Mexico City to secure a profitable government contract.

- ✓ Although this business practice is acceptable in Mexico, it's unethical (and illegal) in the United States.

EXHIBIT 5-6

Ten Principles of the UN Global Compact

Human Rights

- Principle 1: Support and respect the protection of international human rights within their sphere of influence.
- Principle 2: Make sure business corporations are not complicit in human rights abuses.

Labor Standards

- Principle 3: Freedom of association and the effective recognition of the right to collective bargaining.
- Principle 4: The elimination of all forms of forced and compulsory labor.
- Principle 5: The effective abolition of child labor.
- Principle 6: The elimination of discrimination in respect to employment and occupation.

Environment

- Principle 7: Support a precautionary approach to environmental challenges.
- Principle 8: Undertake initiatives to promote greater environmental responsibility.
- Principle 9: Encourage the development and diffusion of environmentally friendly technologies.

Anti-Corruption

- Principle 10: Businesses should work against corruption in all its forms, including extortion and bribery.

Source: Courtesy of UN Global Compact.

Encouraging Ethical Behavior

- Managers can do a number of things if they're serious about encouraging ethical behaviors—hire employees with high ethical standards, establish codes of ethics, lead by example, and so forth.
- ❖ The major ways that managers can use to encourage ethical behavior and create a comprehensive ethics program.
- **Employee Selection**
 - ✓ The selection process (interviews, tests, background checks, and so forth) should be viewed as an opportunity to learn about an individual's level of moral development, personal values, ego strength, and locus of control.
- **Codes of Ethics and Decision Rules**
 - ✓ A **code of ethics**, a formal statement of an organization's values and the ethical rules it expects employees to follow, is a popular choice for reducing that ambiguity.

EXHIBIT 5-7

Codes of Ethics

Cluster 1. Be a Dependable Organizational Citizen

1. Comply with safety, health, and security regulations.
2. Demonstrate courtesy, respect, honesty, and fairness.
3. Illegal drugs and alcohol at work are prohibited.
4. Manage personal finances well.
5. Exhibit good attendance and punctuality.
6. Follow directives of supervisors.
7. Do not use abusive language.
8. Dress in business attire.
9. Firearms at work are prohibited.

Cluster 2. Do Not Do Anything Unlawful or Improper That Will Harm the Organization

1. Conduct business in compliance with all laws.
2. Payments for unlawful purposes are prohibited.
3. Bribes are prohibited.
4. Avoid outside activities that impair duties.
5. Maintain confidentiality of records.
6. Comply with all antitrust and trade regulations.
7. Comply with all accounting rules and controls.
8. Do not use company property for personal benefit.
9. Employees are personally accountable for company funds.
10. Do not propagate false or misleading information.
11. Make decisions without regard for personal gain.

Cluster 3. Be Good to Customers

1. Convey true claims in product advertisements.
 2. Perform assigned duties to the best of your ability.
 3. Provide products and services of the highest quality.
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Leadership

- ❖ Doing business ethically requires a commitment from top managers.
- Why?
 - ✓ Because they're the ones who uphold the shared values and set the cultural tone.
 - ✓ They're role models in terms of both words and actions, though what they *do* is far more important than what they *say*.
 - Top managers also set the tone by their reward and punishment practices.
 - ✓ The choices of whom and what are rewarded with pay increases and promotions send a strong signal to employees.

Job Goals and Performance Appraisal

- Under the stress of unrealistic goals, otherwise ethical employees may feel they have no choice but to do whatever is necessary to meet those goals.
- Also, goal achievement is usually a key issue in performance appraisal.
- If performance appraisals focus only on economic goals, ends will begin to justify means.
- ✓ To encourage ethical behavior, **both ends and means should be evaluated.**

Ethics Training

- ❖ More organizations are setting up seminars, workshops, and similar ethics training programs to encourage ethical behavior.
- ❖ **Teaching ethical values from the early years of kids ages.**

Independent Social Audits

- The fear of being caught can be an important deterrent to unethical behavior.
- Independent social audits, which evaluate decisions and management practices in terms of the organization's code of ethics, increase that likelihood.
- ✓ Such audits can be regular evaluations or they can occur randomly with no prior announcement.
- ✓ An effective ethics program probably needs both.
- To maintain integrity, auditors should be responsible to the **company's board of directors** and present their findings directly to the board.

❖ Protective Mechanisms

- ✓ Employees who face ethical dilemmas need protective mechanisms so they can do what's right without fear of reprimand.
- ✓ An organization might designate ethical counselors for employees facing an ethics dilemma.

Social Responsibility and Ethics Issues in Today's World

The Three current issues:

- ❖ Managing ethical lapses and social irresponsibility
- ❖ Social entrepreneurship
- ❖ Promoting positive social change

Managing Ethical Lapses and Social Irresponsibility

What can managers do?

1. Ethical leadership
2. Protecting those who report wrongdoing

Ethical leadership

- ❖ What managers *do* has a strong influence on employees' decisions whether to behave ethically.
- ✓ When managers cheat, lie, steal, manipulate, take advantage of situations or people, or treat others unfairly, what kind of signal are they sending to employees (or other stakeholders)?



Cont...

PROTECTION OF EMPLOYEES WHO RAISE ETHICAL ISSUES

- ❖ What would you do if you saw other employees doing something illegal, immoral, or unethical? Would you step forward?
- It is important for managers to assure employees who raise ethical concerns or issues that they will face no personal or career risks.

Whistle-blowers

- One way is to set up toll-free ethics hotlines.
- “It is absolutely and unequivocally important to establish a culture where it is possible for employees to complain and protest and to get heard.”

Cont...

Be an ethical leader

EXHIBIT 5-9

Being an Ethical Leader

- Be a good role model by being ethical and honest.
 - Tell the truth always.
 - Don't hide or manipulate information.
 - Be willing to admit your failures.
- Share your personal values by regularly communicating them to employees.
- Stress the organization's or team's important shared values.
- Use the reward system to hold everyone accountable to the values.

Social Entrepreneurship

- ❖ **A social entrepreneur** is an individual or organization who seeks out opportunities to improve society by using practical, innovative, and sustainable approaches.
- Social entrepreneurs want to make the world a better place and have a driving passion to make that happen.
- Business organizations may involve nurturing individuals who passionately and unwaveringly believe they have an idea that could make the world a better place and simply need the organizational support to pursue it.

Businesses Promoting Positive Social Change

- ❖ Businesses can do this in a couple of ways:
 - **Corporate philanthropy**
 - **Employee volunteering efforts**

CORPORATE PHILANTHROPY

- ❖ Companies have funded **their own foundations** to support various social issues.

For example, Google's foundation—called DotOrg by its employees—has about \$2 billion in assets that it will use to **support five areas**:

- Developing systems to help predict and prevent disease pandemics
- Empowering the poor with information about public services
- Creating jobs by investing in small and mid-sized businesses in the developing world
- Accelerating the commercialization of plug-in cars
- Making renewable energy cheaper than coal

Corporate Philanthropy or Business Giving

- ° **Philanthropy** a desire to help mankind as indicated by acts of charity; love of mankind.

Corporate Philanthropy - Business giving, the motive for which can be difficult to assess.

A Brief History of Corporate Philanthropy –

- Community chest efforts dominated early giving
- Since 1960, giving has grown to address a variety of initiatives
- Now, the watchword is “strategic philanthropy” which benefits both society and the business.

Giving to the Third Sector: Nonprofits

◦ **Business and government** – are supported by profits and taxes

The third sector – (churches, museums, hospitals, libraries, colleges, and more) depends on philanthropy.

Why do companies give?

- Charitable – (no expected benefit for the business)
- Community - (gifts support business goals)
- Commercial – (giving that benefits the business)

To Whom Do Companies Give?

- ❖ During any budget year, firms receive numerous requests for contributions from a variety of applicants, and decide which to honor.

Estimates of most business giving -

1. Health and human services
2. Education
3. Civic and community activities
4. Culture and the arts



Cont...

EMPLOYEE VOLUNTEERING EFFORTS

- Employee volunteering is another popular way for businesses to be involved in promoting social change.
- Many businesses have found that such efforts not only benefit communities, but enhance employees' work efforts and motivation.

Managing Corporate Philanthropy

- ❖ Two aspects to the pressure on businesses to be more businesslike in their philanthropy:
 - Base giving on business skills, resources, and capabilities to **enhance philanthropic outcomes**.
 - Focus on philanthropy that will **enhance corporate profitability and also make a difference in the community** (a strategic approach).
 - **Strategic giving** is on the rise.

Managing Corporate Philanthropy

- **Factor Conditions** – the available inputs for production
- **Demand Conditions** – concerned with the nature of the company's customer and the local market
- **Related and Supporting Industries** – can also be strengthened through strategic giving
- **Cause-Related Marketing** – a direct linking of a firm's product or service to a specified charity; each time a consumer buys the product, a donation is given to the charity by the business (is this really philanthropy?)
- **Global Philanthropy** – depends on the size of the firm's workforce in international markets

Community Involvement

- ❖ Business involvement in the community represents enlightened self-interest, because businesses help themselves in the process of helping others.

Volunteer Programs - such programs reflect the resourcefulness and responsiveness to communities, and are essential for attracting and retaining the best talent in the workforce.

Employees want to work for the “good guys.”

Benefits of Employee Volunteerism

Benefits to the employee	Benefits to the corporation	Benefits to the community
Improves performance	Builds brand awareness and affinity	Provides skilled and talented volunteer pool
Increases job satisfaction, attitude and morale	Strengthens trust and loyalty among consumers	Offers direct cost savings for community service organizations
Encourages teamwork	Enhances corporate image and reputation	Creates quantifiable social impact
Promotes leadership and skill development	Improves employee retention	Helps bring community needs into focus
Improves intra-organizational communications	Increases employee productivity and loyalty	



The End of the Chapter!!

Thank You!!